CONFIDENTIALITY & USER AGREEMENT

I. PARTIES.

A. This Confidentiality & User Agreement ("Agreement") is made and effective as of this 12th day of February, 20 26 ("Effective Date") between Bonsai Cultivation ("Service Provider") and the State of Colorado, Department of Revenue, Marijuana Enforcement Division, acting under the authority of the Executive Director of the Department of Revenue as the State Licensing Authority ("Division") (collectively referred to as the "Parties").

B. The Parties agree that the mutual promises and covenants contained herein constitute good and valuable consideration sufficient and adequate to support this Agreement. In consideration of the terms and conditions set forth in this Agreement, the Parties agree to the following:

II. DEFINITIONS.

A. **"API"** means the Application Programming Interface designed, developed, and maintained for the Division by Metrc®, or any other entity with which the Division contracts in the future, to design, develop and/or maintain the Inventory Tracking System.

B. **"API Key"** means an alphanumeric code generated through the Inventory Tracking System that may be used to gain programmatic access to the Inventory Tracking System and automatic electronic communication of data and information between Service Provider's System and the Inventory Tracking System. There are two kinds of API Keys:

1. **"Vendor API Key"** means an API key that is specific to Service Provider and Service Provider's System that must be used by every instance of Service Provider's System at all times, in combination with a User API Key specific to particular Licensee(s), in order to gain authorized programmatic access to the Inventory Tracking System and automatic communication of data and information between Service Provider's System and the Inventory Tracking System pertaining to such Licensee(s).

2. **"User API Key"** means an API Key provided to Service Provider that is unique to a particular Licensee that when used in combination with the Vendor API Key allows Service Provider access to that Licensee's Inventory Tracking System data and information. Licensee(s) must

authorize the issuance of a User API Key to Service Provider and Licensee(s) may deactivate the User API Key given to a Service Provider.

C. **"Confidential Information"** means all information, data, records, and documentary materials, regardless of physical form or characteristics, and includes, but is not limited to, any confidential information as defined in section 44-10-204, C.R.S., non-public Division records, protected Division data, PII Data, PCI Data, and other information or data concerning individuals and Licensees including financial information such as banking information and social security numbers, which has been communicated, furnished, or disclosed by the Division or a Licensee to Service Provider through the Inventory Tracking System, or otherwise.

"Confidential Information" includes, but is not limited to, any information obtained by the Service Provider through the interface between the Inventory Tracking System and Service Provider's System. "Confidential Information" also includes, but is not limited to, all information disclosed to the Service Provider by a Licensee through the API, whenever or however disclosed, including, but not limited to: **(1)** names, addresses, or records of consumers' personal information; **(2)** consumer information or data; **(3)** PII Data; **(4)** PCI Data; **(5)** any other information that should reasonably be recognized as related to the PII Data of consumers; **(6)** inventory tracking data, reports, or records related to the cultivation, manufacture, distribution, or sale of medical or retail marijuana or marijuana product, if such data, reports, or records are, or are intended to be, provided to the Division through the Inventory Tracking System or otherwise; **(7)** business plans and performance information related to the past, present or future activities of a Licensee, its affiliates, subsidiaries and affiliated companies; **(8)** all types of Licensee data, including, but not limited to, names and lists of other license holders, service providers, or affiliates; **(9)** business policies, practices, and procedures; **(10)** names of employees; and **(11)** any other information that should reasonably be recognized as related to business conducted by a Licensee.

D. "**Division**" means the Marijuana Enforcement Division.

E. **"Incident"** means an accidental or deliberate event that results in, or poses a threat of, the unauthorized access, disclosure, modification, disruption, loss, or destruction of information contained in the Inventory Tracking System pursuant to section 24-37.5-401, C.R.S., *et seq*. "Incident" includes, but is not limited to: **(i)** successful attempts to gain unauthorized access to the Inventory Tracking system or Confidential Information regardless of where such information is located; **(ii)** unwanted disruption or denial of service; **(iii)** unauthorized use of the Inventory Tracking system for the acquisition,

processing, or storage of data; **(iv)** any unauthorized access by any person to Confidential Information; and **(v)** changes to the Inventory Tracking System hardware, firmware, or software characteristics without the Division's written instruction or consent.

F. "Inventory Tracking System" is a system used by the Division to track all legally grown marijuana from seed to sale. The Inventory Tracking System currently in use was designed and developed and is maintained for the Division by Metrc®. "Inventory Tracking System" shall also include any future inventory tracking system designed, developed, or maintained by any other entity that the Division may contract with in the future.

G. "Licensee" is any entity or individual that holds a license issued by the State Licensing Authority, which permits the Licensee to participate in the regulated marijuana industry pursuant to the Colorado Marijuana Code and Colorado Marijuana Rules.

H. "Payment Card Information (PCI) Data" means any data related to card holders' names, credit card numbers, or other credit card or financial information as may be protected by state and/or federal law.

I. "Personally Identifiable Information (PII) Data" means information about an individual collected by the Division or any other governmental entity that could reasonably be used to identify such individual as defined in section 24-72-501(2), C.R.S., and includes, but is not limited to, any combination of: **(1)** first and last name; **(2)** first name or first initial and last name; **(3)** residence or other physical address; **(4)** electronic mail address; **(5)** telephone number; **(6)** birth date; **(7)** PCI Data; **(8)** social security number; **(9)** driver's license number; **(10)** identification card number; and **(11)** any other information that identifies an individual personally.

J. "Provider Agreement" means a separate agreement between Service Provider and Licensee(s) pursuant to which Licensee(s) authorize(s) Service Provider to use its User API Key, and pursuant to which Service Provider provides Licensee(s) with Services and utilization of Service Provider's System.

K. "Services" means the services to be performed by Service Provider to Licensee(s) pursuant to a Provider Agreement in connection with the provision, operation, or maintenance of the System.

L. "State Licensing Authority" means the Executive Director of the Department of Revenue, or the Deputy Executive Director if designated to act

as the State Licensing Authority.

M. **"Subcontractor"** means any third party engaged by Service Provider to aid in the performance of Service Provider's obligations to Licensee(s) under a Provider Agreement.

N. **"System"** means the secondary software system provided by Service Provider for use by Licensee(s). Such System shall be used to collect information for Licensees in operating their businesses, including, but not limited to, secondary inventory tracking and point of sale systems.

III. PURPOSE.

A. Service Provider has requested authorization from the Division to access the API designed, developed, and maintained by Metrc® pursuant to a contract with the State of Colorado acting by and through the Department of Revenue, for the purpose of communicating Licensee information to, and retrieving information from, the Inventory Tracking System used by the Division to track all legally grown marijuana from seed to sale.

B. This Agreement sets forth the terms and conditions upon which the Division will permit Service Provider to access the API, and the obligations of Service Provider with respect to such authorization including, without limitation, obligations with respect to Confidential Information.

IV. BACKGROUND.

A. Pursuant to section 44-10-201, C.R.S., the Executive Director of the Colorado Department of Revenue (or the Deputy Executive Director if designated by the Executive Director) is the State Licensing Authority for the purpose of regulating and controlling the licensing of the cultivation, manufacture, distribution, sale, and testing of regulated marijuana in Colorado. The Division works under the authority of the State Licensing Authority to regulate licensed marijuana businesses and licensed individuals in Colorado.

B. Pursuant to Section 44-10-202(1)(a), C.R.S., and Rule 3-800, 1 CCR 212-3, Licensees are required to use the Inventory Tracking System developed by the Division, through Metrc®, to track all regulated marijuana or regulated marijuana product from either seed or immature plant until it is sold to a medical marijuana patient or a retail marijuana consumer. Tracking information is entered into the Inventory Tracking System by Licensees and is available through an API maintained by Metrc®.

C. Licensee(s) work(s) with Service Provider(s) for a variety of purposes, including the use of point-of-sale systems to transfer information to and from the Inventory Tracking System, reconciling deposits and sales receipts, data analysis, tracking inventory, and ensuring compliance with the Colorado Marijuana Code, section 44-10-101, *et seq*. ("Colorado Marijuana Code"), and Colorado Marijuana Rules, 1 C.C.R. 212-3 ("Colorado Marijuana Rules"). Service Provider may enter into a separate contract with one or more Licensees for the transfer of Licensee(s) tracking information to and/or from the Inventory Tracking System using the API through Service Provider's System.

D. Access to the API through Service Provider's System requires the issuance of a Vendor API Key that is unique to the Service Provider. Use of the Vendor API Key, in conjunction with a User API Key that is unique to a particular Licensee, will allow Service Provider to access a Licensee's Inventory Tracking System account and related data. If Service Provider provides services to multiple Licensees, then they must use a separate User API Key for each particular Licensee.

E. Issuance of a Vendor API Key by the Inventory Tracking System is contingent upon the prior execution of this Agreement by the Parties.

V. AUTHORIZATION.

A. The Division hereby authorizes the Inventory Tracking System to provide Service Provider with a Vendor API Key, which, when used in combination with a User API Key furnished to Service Provider by Licensee(s), permits Service Provider's System to access the API for the purposes of communicating information to the Inventory Tracking System and retrieving information from the Inventory Tracking System. This Agreement, and Service Provider's rights and obligations hereunder, shall not be assigned without the prior written consent of the Division, which may be approved or denied in the Division's sole discretion.

B. Service Provider agrees to operate in good faith and with fair dealing at all times when providing their System or Services that interface with the Inventory Tracking System.

VI. CONFIDENTIAL INFORMATION.

A. Maintain Confidentiality. The undersigned shall at all times keep confidential all Confidential Information and shall not use, publish, copy, disclose to any third party, or permit the use by any third party of any

Confidential Information. The disclosure or use of Confidential Information by Service Provider, or any of its officers, employees, agents, Subcontractors, and permitted assigns, in violation of this Agreement, shall be a breach of this Agreement. The undersigned shall forward any request or demand including, but not limited to, any subpoena for Confidential Information to the Division within twenty-four (24) hours of receiving any such request or demand.

B. Use, Security, and Retention. Confidential Information shall be stored, processed, or transferred only within or to facilities located within the United Divisions, and shall not be distributed or sold to any third party, retained in any files or otherwise, or used by Service Provider, or any of its officers, employees, agents, Subcontractors, and permitted assigns, in any way, except as authorized by this Agreement, as required by law, as approved in writing by the Division, or as otherwise agreed in writing by the relevant Licensee. Service Provider shall provide and maintain a secure environment that ensures the confidentiality of all Confidential Information wherever located. Service Provider shall not have the rights to use or access any Division or other state agency data or information, except with the prior written approval of the Division.

VII. PROTECTION OF SYSTEM DATA.

A. The Service Provider shall:

1. Provide physical and logical protection for all hardware, software, applications, and data used in connection with or related to the performance of this Agreement that meets or exceeds industry standards and the requirements of this Agreement.

2. Maintain network, system, and application security, which includes, but is not limited to, network firewalls, intrusion detection (host and network), annual security testing, and improvements or enhancements consistent with evolving industry standards.

3. Comply with state and federal laws, rules, and regulations related to overall security, privacy, confidentiality, integrity, availability, and auditing.

4. Ensure that security is not compromised by unauthorized access to workspaces, computers, networks, software, databases, or other physical or electronic environments.

B. Incidents.

1. **Incident Notice.** If Service Provider becomes aware of an Incident involving any Confidential Information, it shall notify the Division immediately and cooperate with the Division and any other state agencies regarding recovery, remediation, and with any law enforcement investigation or action. Unless Service Provider establishes that neither Service Provider nor any of its officers, agents, employees, Subcontractors, or permitted assigns was the cause or source of the Incident, Service Provider shall be responsible for the cost of notifying each person whose Confidential Information may have been compromised by the Incident.

2. **Incident Remediation.** Service Provider, at its sole cost, shall be responsible for determining the cause of an Incident, and for producing a remediation plan to reduce the risk of a similar Incident in the future. Service Provider shall present its analysis and remediation plan to the Division within ten (10) days of notifying the Division of an Incident. The Division reserves the right to adjust this plan, at its sole discretion. If Service Provider cannot produce its analysis and plan within the allotted time, the Division, in its sole discretion, may perform such analysis and produce a remediation plan, and Service Provider shall timely reimburse the Division for the reasonable costs thereof.

3. **Incident Liability.** Notwithstanding any other provision of this Agreement, Service Provider shall be liable to the Division for all direct, consequential, and incidental damages arising from an Incident caused by Service Provider or its officers, agents, employees, Subcontractors, or permitted assigns.

VIII. NOTICES, BREACH, AND CURE PERIOD.

A. Notices. In the event of a breach, notice of such shall be given in writing by the aggrieved party to the other party by hand-delivery with receipt required or sent by certified or registered mail to such party's principal representative at the address set forth below. If sent by certified or registered mail, notice shall be deemed received two (2) business days after the date of mailing as reflected on the postmark. In addition to, but not in lieu of a hard-copy notice, notice also may be sent by e-mail to the e-mail addresses, if any, as set forth below. Any Party may from time to time designate, by written notice, substitute addresses, e-mail addresses, or persons to whom such notices shall be sent.

1. **If to the Division:**

Kyle Lambert
Deputy Director
Marijuana Enforcement Division Department of Revenue
1697 Cole Blvd., Suite 200 Lakewood, CO 80401
kyle.lambert@state.co.us

2. **If to Service Provider:**

Name of person:	Aaron C. Zimmerman
Title:	Chief Financial Officer
Company name:	Bonsai Cultivation
Address:	1955 S Quince St Denver, CO 80231
Email address:	aaron.zimmerman@bonsaicultivation

B. Cure Period. If such breach is not cured within thirty (30) days of receipt of written notice, or if a cure cannot be completed within thirty (30) days, or if cure of the breach has not begun within thirty (30) days and pursued with due diligence, the Division may exercise any of the remedies set forth below in **paragraph IX** of this Agreement, except that the cure period shall not apply under the circumstances set forth in **paragraph IX.A.2.** below.

IX. REMEDIES

If Service Provider is in breach of any provision of this Agreement, the Division shall have all of the remedies listed in **paragraph IX.A.** of this Agreement, in addition to all other remedies set forth in other sections of this Agreement, following the notice and cure period set forth above in **paragraph VIII.B.** of this Agreement. The Division may exercise any or all of the remedies available to it, in its sole discretion, concurrently or consecutively.

A. Termination for Cause and/or Breach. The Division may terminate this entire Agreement or any part of this Agreement. Exercise by the Division of this right shall not be a breach of its obligations hereunder. Service Provider

shall continue performance of this Agreement to the extent not terminated, if any.

1. **Obligations and Rights.** To the extent specified in any termination notice, Service Provider shall take timely, reasonable, and necessary action to protect and preserve Confidential Information in the possession or control of Service Provider. All Confidential Information in the possession or control of Service Provider shall be immediately returned to the Division as specified in this Agreement, and Service Provider shall certify that no copies of Confidential Information remain in the possession or control of Service Provider.

2. **Vendor API Key Deactivation.** Notwithstanding **paragraph VIII.B.** of this Agreement, the Division, in its sole discretion, may immediately deactivate Service Provider's Vendor API Key, without providing advance notice or a cure period, if the Division determines immediate action is warranted to maintain the confidentiality of Confidential Information, as required pursuant to the Colorado Marijuana Code and Colorado Marijuana Rules, or to prevent any other harm that may otherwise result from an Incident, including, without limitation, any unauthorized access, disclosure, modification, disruption, denial of service, loss, or destruction of information contained in the Inventory Tracking System.

   Service Provider agrees that the Vendor API Key does not constitute a license as defined in section 24-4-102(7), C.R.S., and expressly waives any rights associated with the provision of a license in Colorado. Service Provider specifically agrees it has no right to a hearing or other legal or administrative process regarding the deactivation of the Vendor API Key.

3. **Damages.** Notwithstanding any other remedial action by the Division, Service Provider shall remain liable to the Division for any damages sustained by the Division by virtue of any breach under this Agreement by Service Provider.

B. Early Termination in the Public Interest. The Division is entering into this Agreement for the purpose of carrying out the public policy of the State of Colorado, as determined by its Governor, General Assembly, and/or Courts. If the Division determines, in its sole discretion, that this Agreement ceases to further the public policy of the State, the Division may deactivate Service Provider's Vendor API Key and terminate this Agreement, regardless of whether a breach of this Agreement has occurred. Exercise by the Division of this right shall not constitute a breach of the Division's obligations hereunder.

C. Obligations and Rights. Upon receipt of notice of breach, Service Provider shall be subject to and comply with the same obligations and rights set forth above in **paragraph IX.A.1.** of this Agreement.

D. Remedies Not Involving Termination. The Division, in its sole discretion, may exercise one or more of the following remedies in addition to other remedies available to it:

1. **Removal.** Notwithstanding any other provision herein, the Division may demand the immediate removal of any of Service Provider's officers, agents, employees, Subcontractors or permitted assigns whom the Division deems incompetent, careless, insubordinate, unsuitable, or otherwise unacceptable, or whose continued relation to this Agreement is deemed to be contrary to the public interest or the Division's best interest.

2. **Intellectual Property.** If Service Provider infringes on a patent, copyright, trademark, trade secret, or other intellectual property rights while performing the Services or providing the System, Service Provider shall, at the Division's option: **(1)** obtain the right to use such products and Services; **(2)** replace any goods, Services, or product involved with non-infringing goods, Services or products, or modify such goods, Services or products so that they become non-infringing; or **(3)** if neither of the foregoing alternatives are reasonably available, remove any infringing goods, Services, or products.

X. INSURANCE

A. Service Provider shall carry, with the Division named as an additional insured on, cyber/network security and privacy liability insurance covering civil, regulatory, and statutory damages, contractual damages, data breach management exposure, and any loss of income or extra expense as a result of actual or alleged breach, violation or infringement of right to privacy, consumer data protection law, the confidentiality of other legal protection for personal information, as well as Confidential Information, with the minimum limits as follows: $1,000,000 per occurrence; and $2,000,000 in the aggregate.

XI. OTHER PROVISIONS

A. Indemnification. Service Provider shall indemnify, save, and hold harmless the Division, its employees and agents, against any and all claims, damages, liability, and court awards including costs, expenses, and attorney fees incurred as a result of any Incident and any act or omission by Service

Provider, or its officers, agents, employees, Subcontractors, or permitted assigns, pursuant to the terms of this Agreement. However, the provisions in this Agreement shall not be construed or interpreted as a waiver, expressed or implied, of any of the immunities, rights, benefits, protection, or other provisions of the Colorado Governmental Immunity Act, section 24-10-101, C.R.S., et seq., as applicable now or hereafter amended.

B. Jurisdiction and Venue. All suits or actions related to this Agreement shall be filed and have proceedings held in the State of Colorado, and the exclusive venue shall be in the District Court for the City and County of Denver.

C. Notice of Nonliability & Governmental Immunity.

1. By entering into this Agreement, the Division is under no obligation to appropriate funds for, or to make, any payments to Service Provider or any Licensee for any reason, including, but not limited to, the purpose of reimbursing Service Provider or Licensee(s) for any payments or expenses Service Provider or any Licensee may make or incur, including, without limitation, any such payments or expenses made or incurred pursuant to any agreement between Service Provider and any Licensee(s). Nor shall any provision in this Agreement be construed as imposing liability on the Division for any expenses Service Provider or Licensee(s) may make or incur in connection with this Agreement or the performance of this Agreement. Service Provider expressly waives any claims asserting liability against Division in connection with this Agreement or the performance of this Agreement.

2. Liability for claims for injuries to persons or property arising from the negligence of the State of Colorado, its departments, institutions, agencies, boards, officials, and employees, is controlled and limited by the provisions of the Colorado Governmental Immunity Act, § 24- 10-101, C.R.S., *et seq*. (CGIA), and the risk management statutes, § 24-102-205, C.R.S., *et seq*., as applicable now or hereafter amended. No term or condition of this Agreement shall be construed or interpreted as a waiver, expressed or implied, of any of the immunities, rights, benefits, protections, or other provisions, of the CGIA. The Parties agree that the Division retains all such immunities, rights, benefits, and protections.

D. Third-Party Beneficiaries. Enforcement of this Agreement and all rights and obligations hereunder are reserved solely to the Parties. Any services or benefits which third parties receive as a result of this Agreement are incidental to the Agreement and do not create any rights for such third parties.

E. Conflicts of Interest. Service Provider acknowledges that with respect to this Agreement, a conflict of interest or even the appearance of a conflict of interest is harmful to the Division's interests. Absent the Division's prior written approval, Service Provider shall refrain from any practice(s), activity(ies), or relationship(s) that reasonably may appear to be in conflict with the full performance of Service Provider's obligations to the Division hereunder, or that involve any practice(s), activity(ies), or relationship(s) with respect to Licensee(s) that involve, or give the appearance of involvement in, unfair competitive or unfair trade practices. If such a conflict of interest or the appearance of a conflict of interest exists, or if Service Provider is uncertain as to such, Service Provider shall submit to the Division a disclosure statement setting forth the relevant details. The Division, in its sole discretion, may exercise the remedies in **paragraph IX** of this Agreement if it determines a conflict of interest or the appearance of a conflict of interest exists.

F. Choice of Law. Colorado law, and rules and regulations issued pursuant thereto, shall be applicable to the interpretation, execution, and enforcement of this Agreement. Any provision included or incorporated herein by reference that conflicts with said laws, rules, and regulations shall be null and void. Any provision incorporated herein by reference that purports to negate this or any other provision in whole or in part shall not be valid or enforceable or available in any action at law or in equity, whether by way of complaint, defense, or otherwise. Any provision rendered null and void by the operation of this provision shall not invalidate the remainder of this Agreement, to the extent performance is practicable.

G. Entire Understanding.

1. This Agreement represents the complete integration of all understandings between the Parties, and all prior representations and understandings, oral or written, are merged herein. Prior or contemporaneous additions, deletions, or other changes hereto shall not have any force or effect whatsoever unless set forth in this Agreement. No amendment of this Agreement shall have any force or effect unless contained in a writing signed by the Parties.

2. This Agreement may be executed in one or more counterparts, each counterpart to be considered an original, and all of which together shall constitute a single instrument. Facsimile ("Fax") and Portable Document Format ("PDF") copies of the Parties' signatures shall be treated as originals.

The Parties have caused their duly authorized representatives to execute this Agreement as of the date set forth above in **Paragraph I.A.**

Service Provider: Aaron C. Zimmerman

Signature: _____
Print name: Aaron C. Zimmerman
Title: Chief Financial Officer

Marijuana Enforcement Division

Signature: _____
Print name: Kyle Lambert
Title: Deputy Director